

Profits & Gains of Business or Profession

Illustration 1

From the following particulars, compute admissible depreciation and capital gain/loss for the previous year relevant to the assessment year 2025-26:

Written down value of Building A & B as on 1-4-2024 (Depreciation rate 10%)	₹ 2,50,000
Cost of Building C purchased on November 15, 2024 (Depreciation rate 10%)	₹ 3,00,000

(i) If all the buildings (A, B & C) are sold for ₹ 6,00,000;

(ii) If Buildings (A & B) are sold for ₹ 5,00,000

(iii) If Building (A) is sold for ₹ 50,000.

Solution

Computation of Depreciation allowed u/s 32 for the A.Y. 2025-26

Particulars	Amount
Case 1: Building @ 10%	
W.D.V. as on 1/4/2024	2,50,000
Add: Purchase during the year	3,00,000
	5,50,000
Less: Sold during the year	6,00,000
Short term capital gain	50,000
Case 2: Building @ 10%	
W.D.V. as on 1/4/2024	2,50,000
Add: Purchase during the year	3,00,000
	5,50,000
Less: Sold during the year	5,00,000
	50,000
Depreciation @ 10% [$\text{₹ } 50,000 \times 10\% \times \frac{1}{2}$]	2,500
Case 3 Building @ 10%	
W.D.V. as on 1/4/2024	2,50,000
Add: Purchase during the year	3,00,000
	5,50,000
Less: Sold during the year	50,000
	5,00,000
Depreciation @ 10% [$(\text{₹ } 3,00,000 \times 10\% \times \frac{1}{2}) + (\text{₹ } 2,00,000 \times 10\%)$]	35,000

Illustration 2 35

Mr. Barun provided similar information for the assessment year 2025-26:

(i) Purchased machine of ₹ 2,50,000 for in-house scientific research.

(ii) Purchased land of ₹ 5,00,000 for in-house scientific research.



Work Book : Direct Taxation (Section A)

(iii) Constructed building of ₹ 7,50,000 for in-house scientific research.

(iv) Contributed to IIT Delhi for scientific research ₹ 64,000

(v) Contributed to the Indian Statistical Institute for statistical research ₹ 45,000.

Compute the admissible deduction u/s 35 in the hands of Mr. Barun if:

- Case a: He has opted for the old tax regime

- Case b: He has not opted for the old tax regime

Solution

Computation of amount of deduction admissible u/s 35 for Scientific Research

Particulars	Working	Case (a)	Case (b)
Contribution to IIT Delhi	Not available under the default tax regime	64,000	NA
Contribution to the Indian Statistical Institute for Statistical Research		45,000	NA
<u>Expenditure on in-house research</u>			
- Cost of land	Not eligible	Nil	Nil
- Purchase of machinery		2,50,000	2,50,000
- Construction of Building		7,50,000	7,50,000
Total deduction u/s 35		11,09,000	10,00,000

Illustration 3

X & Co. is a partnership firm, which sets up a new industrial unit. It incurs the following expenditure in connection with the new unit:

	₹
Preparation of project report	4,00,000
Market survey	5,00,000
Total	9,00,000

The following further data is available:

Cost of project	₹ 30,00,000
Capital employed in the new unit	₹ 40,00,000

What is the deduction admissible to the firm u/s 35D for A.Y. 2025-26?

Solution

In case of firm, preliminary expenditure is restricted to 5% of cost of project. Hence, eligible preliminary expenditure is ₹ 1,50,000 (being 5% of ₹ 30,00,000). Further, eligible preliminary expenditure is deducted in five equal instalments.

Therefore, deduction u/s 35D in respect of preliminary expenditure for the A.Y.2025-26 is ₹ 30,000 (being 1/5th of ₹ 1,50,000).

Illustration 4

Discuss the allowability or otherwise of the following expenditure in computing income from the business of an assessee for the assessment year 2025-26.

- (a) Interest on funds borrowed for paying income tax.
- (b) Legal charges were paid for the registration of trademark.
- (c) Legal expenses including lawyer's fee for raising loan from financial institution.
- (d) Lump sum paid to an employee in lieu of regular pension.
- (e) Ex-gratia paid to the dependents of an employee who died in accident while coming to the factory.
- (f) ₹ 70,000 was considered as bad debts. The debtors were declared insolvent having no asset. The amount was, however, not written off as irrecoverable in the accounts of the assessee.
- (g) A compensation of ₹ 10,000 paid to the party for non-delivery of goods as per terms of contract.
- (h) ₹ 25,000 paid to a creditor in cash in a day.
- (i) Interest on capital of ₹ 27,000 paid to the proprietor of a sole proprietorship business
- (j) Penalty of ₹ 15,000 paid to the customs authority for violation of Customs law.

Solution

- (a) Interest on funds borrowed for payment of income tax is a disallowed expenditure.
- (b) Legal charges paid for the registration of trademark is an allowed expenditure u/s 37(1).
- (c) Legal expenses including lawyer's fee for raising loan from financial institution is an allowed expenditure u/s 37(1).
- (d) Lump sum paid to an employee in lieu of regular pension is an allowed expenditure u/s 37(1).
- (e) Ex-gratia is an allowed expenditure u/s 37(1).
- (f) As debt has not been written off, such amount shall not be allowed.
- (g) Compensation for non-delivery of goods is an allowed expenditure u/s 37(1).
- (h) Amount paid to a creditor over ₹ 10,000 in a day shall be disallowed to the full extent (i.e., ₹ 25,000) u/s 40A(3)
- (i) Interest on capital paid to the proprietor shall be disallowed.
- (j) Penalty paid to the customs authority for violation of customs law shall be disallowed u/s 37

Similar with q.4 p 83 (Shri Khote)

Illustration 5

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From the following particulars of Shri Sanju for the year ending 31st March, 2025, find out his business income for the assessment year 2025-26:



Work Book : Direct Taxation (Section A)

Particulars	₹	Particulars	₹
To Wages & salaries	5,25,000	By Gross Profit	11,08,000
To Legal expenses	15,000	By Recovery of bad debts (Disallowed in the earlier previous year)	5,000
To Bad debts	30,000	By Income tax refund	12,000
To Rent	1,20,000	By Profit on sale of long-term investment	40,000
To Depreciation	6,000	By Sundry receipts	5,350
To Income tax	2,000		
To GST	10,000		
To Advertisement	7,000		
To Entertainment expenses	4,000		
To Purchase of machinery for scientific research	6,000		
To Charities & Donations	10,000		
To Audit fees	15,000		
To General expenses	3,000		
To Extension of building	35,000		
To Compensation paid to retrenched employee	1,15,000		
To Net profit	2,67,350		
	11,70,350		11,70,350

In computing the income, the following facts are to be taken into consideration:

- (i) In the item of rent, ₹ 24,000 is included in respect of the rent of the office building, which is owned by Shri Sanju.
- (ii) In the amount of salaries, ₹ 5,000 is included in respect of employer's contribution to the Recognized Provident Fund.
- (iii) Closing stock is valued at cost while opening stock is valued at 25% above cost. Value of opening stock taken in the Trading Account ₹ 2,00,000
- (iv) Bad debts included ₹ 10,500 due from one customer who is solvent and no legal step has been taken yet to recover the amount.
- (v) Legal expenses include ₹ 900 for GST appeal and ₹ 2,000 as a penalty for infringement of customs rules.
- (vi) Advertisement includes expenses of ₹ 4,000 spent for purchasing presentation articles for distribution to regular customers on New Year's Day.
- (vii) He owned the following assets as on 1.4.2024
 - (i) Building ₹ 1,60,000; (ii) Machinery ₹ 1,20,000 and (iii) Furniture & Fixture ₹ 50,000 and rates of depreciation are – 10% on Building and 15% on Machinery and 10% on Furniture & Fixture.

Solution

Computation of business income of Shri Sanju for the A.Y.2025-26

Particulars	Notes	Details	Amount
Profits & gains of business or profession			
Net profit as per Profit and Loss A/c			2,67,350
<u>Add: Expenditure disallowed</u>			
Income tax	1	2,000	
Depreciation as per books of accounts	2	6,000	
Charities and donations	3	10,000	
Extension of building	4	35,000	
Rent for the owned office building	5	24,000	
Legal expenses	6	2,000	79,000
			3,46,350
<u>Less: Expenditure allowed but not debited to P/L A/c</u>			
<u>Depreciation as per I.T. Rules:</u>			
Building	2	17,750	
Machinery	2	18,000	
Furniture & Fixture	2	5,000	
<u>Less: Income not taxable wrongly credited to P/L A/c</u>			
Bad Debt recovery (earlier not allowed)	7	5,000	
Income tax refund	8	12,000	
<u>Less: Income taxable under other heads credited to P/L A/c</u>			
Profit on sale of long-term investment	9	40,000	97,750
			2,48,600
<u>Adjustment for valuation of stock</u>			
<u>Add: Over valuation of opening stock</u>	10		40,000
Profits & gains of business or profession			2,88,600

Notes:

- Income tax is specifically disallowed u/s 40(a).
- Depreciation is allowed as per I.T. Act and not as per books of accounts.

Computation of depreciation as per IT Act:

Particulars	Building	Machinery	Furniture & Fixture
Rate of depreciation	10%	15%	10%
W.D.V. as on 1/4/2024	1,60,000	1,20,000	50,000
<u>Add: Purchase or extension</u>	35,000	Nil	Nil
W.D.V. as on 31/3/2025	1,95,000	1,20,000	50,000
Depreciation	17,750 [#]	18,000	5,000

[#] Depreciation on extension part is charged for half year.



Work Book : Direct Taxation (Section A)

3. Charity and donation is not allowed, as it is not related to business.
4. Extension of building is a capital expenditure.
5. Rent paid to proprietor is not allowed as no one can earn from himself.
6. Any payment for infringement of law is not allowed as a deduction.
7. Bad debt recovery is taxable only if it is earlier allowed.
8. Refund of income tax is not an income.
9. Profit on sale of investment is taxable as capital gains.
10. Overvaluation of opening stock:
Actual value of opening stock ($\text{₹ } 2,00,000 / 125\%$) = ₹ 1,60,000
Overvaluation of stock is 25% of ₹ 1,60,000 = ₹ 40,000
11. Assume that the employer's contribution to RPF has been paid.
12. Advertisement expenditure for presentation to customer is allowed as a deduction u/s 37(1).
13. Cost of machinery acquired for scientific research is fully allowed u/s 35

Illustration 6 NEW Question

Following is the Receipts & Payments Account of CMA Debnath, a practicing Cost Accountant for the year ended 31st March, 2025. Compute his income from Profession for the A.Y. 2025-26

Receipts	₹	Payments	₹
Balance b/f	1,50,000	Rent	1,80,000
Professional receipts	8,20,000	Electric charges	12,000
Fees from other accounting works	65,000	Remuneration to office clerk	80,000
Salary from a college as guest lecturer	1,20,000	Salary to office staff	1,20,000
Gift from client (For appreciation of service)	25,000	Life Insurance Premium	15,000
Examiner's remuneration from ICAI	40,000	Misc. office expenses	8,000
Interest on deposit	70,000	Purchase of Motor Car (01.04.24)	3,50,000
		Motor car expenses	75,000
		Membership fee of ICAI	1,500
		Donation to a Recognised University	10,000
		Household expenses	56,000
		Purchase of professional journals	10,000
		Balance c/f	3,72,500
	12,90,000		12,90,000

Other information:

- 1/5th of the motor car expenses related to personal use.
- The rent and electric charges are in respect of a house, of which half the portion is used for self-residence and the remaining half portion is used for the office of his profession.

Solution

Computation of Profits and Gains of Business or Profession of CMA Debnath for the A.Y.2025-26

Particulars	Details	Amount	Amount
Profits & gains of business or profession			
Income:			
Professional Receipts		8,20,000	
Fees from other accounting works		65,000	
Gift from client		25,000	9,10,000
Less: Expenses allowed			
Rent	½ shall be allowed	90,000	
Electric charges	½ shall be allowed	6,000	
Remuneration to office clerk		80,000	
Salary to office staff		1,20,000	
Misc. office expenses		8,000	
Depreciation	₹ 3,50,000 x 15% x 4/5	56,000	
Motor Car Expenses	₹ 75,000 x 4/5	60,000	
Membership fee of ICMAI		1,500	
Purchase of professional journals		10,000	4,31,500
Profits and Gains of Business or Profession			4,78,500

Notes:

- As 20% use of motor car is related to personal purpose, hence as per sec. 38, expenditure is apportioned.
- Payment of LIC premium is eligible for deduction u/s 80C, if he has opted for old tax regime
- As per sec. 145, income chargeable under the head income from business and profession shall be computed only in accordance with the method of accounting regularly followed by the assessee. In this case, assessee follows cash system of accounting.

Illustration 7 New Question

From the following profit & loss account of Sonu for the year ended 31-3-2025, compute his gross total income for the assessment year 2025-26:

Particulars	Amount	Particulars	Amount
Opening stock	4,00,000	Sales	2,40,00,000
Purchases	2,30,00,000	Closing stock	4,80,000
Salaries	8,00,000	Income from house property	80,000



Work Book : Direct Taxation (Section A)

Rent, rates & taxes	1,20,000	Dividend from an Indian company	9,000
Legal charges	40,000		
Miscellaneous expenses	20,000		
Provision for bad debts	30,000		
Provision for gratuity	20,000		
Provision for income tax	40,000		
Salary to Mrs. Sonu	36,000		
Depreciation	40,000		
Net profit	23,000		
	2,45,69,000		2,45,69,000

Additional information

- Purchases include ₹ 1,00,000 paid in cash to cultivator for purchase of an agricultural produce.
- Purchases also include ₹ 1,00,000 paid by way of compensation to a supplier as the assessee was unable to take the delivery of goods due to lack of storage space and finances.
- Opening stock was overvalued by 25% and closing stock was undervalued by 25%.
- Salary includes ₹ 15,000 paid as customary bonus on the occasion of Diwali over and above the bonus payable under the Payment of Bonus Act, 1956.
- Rent, rates & taxes include ₹ 3,000 on account of municipal taxes for property let out. It also includes ₹ 5,000 as customs penalty paid during the year.
- An amount of ₹ 20,000 from a customer was written off from the provision for bad debts
- An employee retired on 28-3-2025. Gratuity payable to him was ₹ 20,000. A provision was created for the same this year and it was paid on 2-4-2025.
- Mrs. Sonu is a law graduate and actively working in the assessee's firm.

Solution

Computation of gross total income of Sonu for the A.Y.2025-26

Particulars	Note	Details	Amount
<i>Profits and gains of business or profession</i>			
Net profit as per books of account			23,000
<i>Add: Expenditure disallowed but debited in P/L A/c</i>			
Municipal tax	6	3,000	
Custom penalty	7	5,000	
Provision for bad debts	8	30,000	
Provision for income tax	11	40,000	78,000
			1,01,000
<i>Less: Expenditure allowed but not debited in P/L A/c:</i>			
Bad debts	8	20,000	
<i>Less: Income taxable under other heads but credited to P/L A/c</i>			

Dividend received from companies		9,000	
Income from house property		80,000	1,09,000
			(8,000)
<u>Adjustment of stock</u>			
Add: Under valuation of closing stock	4	1,60,000	
Add: Over valuation of opening stock	3	80,000	2,40,000
			2,32,000
<u>Income from house property</u>			
Gross Annual Value (Actual rent received)		80,000	
Less: Municipal Taxes		3,000	
Net Annual value (NAV)		77,000	
Less: Standard deduction u/s 24(a) @ 30% of NAV		23,100	53,900
<u>Income from other sources</u>			
Dividend			9,000
Gross Total Income			2,94,900

Notes

- Since the payment is made in cash of ₹ 1,00,000 to agriculturist, hence the provision of sec. 40A(3) do not attract.
- Payment of compensation to supplier is a business expenditure and shall be allowed.
- Overvaluation of opening stock by 25%
 Stock at overvalued figure (i.e. at 125%) = ₹ 4,00,000
 Stock at cost (i.e. at 100%) = ₹ 3,20,000 (i.e. ₹ 4,00,000/125%)
 Overvaluation of stock = ₹ 80,000 (i.e. ₹ 4,00,000 - ₹ 3,20,000)
- Under valuation of closing stock by 25%
 Stock at undervalued figure (i.e. at 75%) = ₹ 4,80,000
 Stock at cost (i.e. at 100%) = ₹ 6,40,000 (i.e. ₹ 4,80,000/75%)
 Undervaluation of stock = ₹ 1,60,000 (i.e. ₹ 6,40,000 - ₹ 4,80,000)
- Voluntary bonus to employee shall be allowed expenditure.
- Municipal tax paid is allowed under the head income from house property.
- Any payment for infringement of law is not allowed as deduction.
- Provision for bad debt is disallowed. However, bad debt written off against the same is allowed expenditure.
- Since the gratuity is paid before due date of filing of return, hence the same is allowed.
- Payment to relative not being in excess shall be allowed as deduction. Further Mrs. Sonu is possessing technical or professional qualification. Hence, clubbing provision u/s 64(1) is not attracted.
- Income tax is disallowed expenditure u/s 40(a).



Work Book : Direct Taxation (Section A)

✓ Illustration 8 *Both* New Question

Bharat, owner of Great India Roadways, furnishes following details for the A.Y.2025-26:

	₹
Revenue from customers	1,41,00,000
<u>Less: Expenses</u>	
Rent of office premises	1,80,000
Rent of godown	2,40,000
Truck Driver salary	5,00,000
Allowance to truck driver	1,20,000
Cost of petrol, diesel, etc	1,07,50,000
Other expenses other than depreciation	2,00,000
Income from business without charging depreciation	21,10,000

Additional information

Great India Roadways have following details of its assets -

<u>Assets</u>	<u>Written down value as on 1-4-2024</u>
Office Premises	₹ 2,50,000
Machinery block (30%) consists of -	₹ 20,00,000
- 2 Diesel engine trucks of 13,000 kgs each	
- 2 Diesel engine trucks of 10,000 kgs each	
- 1 Petrol engine truck of 12,000 kgs	

During the year, he purchased 2 medium-size-truck (petrol engine) for ₹ 3,50,000 each on 13-7-2024. However, petrol engine truck was sold on 9-9-2024 for ₹ 1,00,000.

Compute his income under the head Profits & gains of business or profession.

Solution

Computation of Profits & gains of business or profession of Shri Bharat for the A.Y. 2025-26

<u>Particulars</u>	<u>Amount</u>
Net profit as per Profit and Loss A/c	21,10,000
<u>Less: Expenditure allowed but not debited to P/L A/c</u>	
Depreciation u/s 32 (Note)	8,05,000
Profits & gains of business or profession	13,05,000

Note: Computation of depreciation allowed u/s 32

<u>Particulars</u>	<u>Details</u>	<u>Amount</u>
Block 1: Office Premises @ 10%		
W.D.V. as on 1/4/2024	2,50,000	
Add: Purchase during the year	Nil	
	2,50,000	
Less: Sale during the year	Nil	
	2,50,000	

Depreciation		25,000
Block 2: Trucks @ 30%		
W.D.V. as on 1/4/2024	20,00,000	
Add: Purchase during the year	7,00,000	
	27,00,000	
Less: Sale during the year	1,00,000	
	26,00,000	
Depreciation		7,80,000
Depreciation allowed u/s 32		8,05,000

Alternative II: Computation of income u/s 44AE

No. of vehicle	Month including part of month	Details	Income
2 heavy goods vehicle	12	1,000 x 13 x 12 x 2	3,12,000
2 other goods vehicle	12	7,500 x 12 x 2	1,80,000
1 Petrol engine truck	6	7,500 x 6 x 1	45,000
2 medium size truck	9	7,500 x 9 x 2	1,35,000
Profit and gains of business or profession			6,72,000

Income of the assessee under the head Profits & gains of business or profession shall be ₹ 6,72,000 u/s 44AE.

Illustration 9 New Question

The following is the profit and loss account for the year ended 31st March, 2025 of Northern Sugar Mills of which Shri Daga is the owner:

Particulars	Amount	Particulars	Amount
Manufacturing expenses	1,49,93,795	Sale of sugar and molasses	2,11,62,300
Establishment charges	49,200	Revenue from fisheries	4,000
Penalty paid to municipal corporation	2,000	Sale proceeds from canes	6,05,055
Salary and wages	1,21,445	Profit on sale of motor	3,230
General charges	16,750	Rent from agricultural land	950
Interest on bank loan	7,21,000		
Daga's remuneration	1,38,750		
Depreciation	91,000		
Income tax	25,000		
Cultivation expenses	4,37,500		
Net profit	51,79,095		
	2,17,75,535		2,17,75,535

Compute the income from business of Shri Daga from the Sugar Mill for the assessment year 2025-26 after taking the following information into consideration:

- Sale proceeds of cane include ₹ 5,32,000 on account of cane produced and consumed in the factory and debited to manufacturing expenses, the average market price of such cane being ₹ 6,00,000.



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- b) The motor sold during the year for ₹ 7,230 was purchased in the past for ₹ 19,000. Depreciation claimed in respect thereof in past assessments was ₹ 15,000.
- c) General charges include (i) ₹ 2,000 being the legal expenses incurred in defending a suit regarding the company's title to certain agricultural lands and (ii) ₹ 10,000 paid to Shri Daga's son who is an employee in the Sugar Mill for a trip to Hawaii to study modern methods of manufacture.
- d) Depreciation in respect of all assets has been ascertained at ₹ 50,000 as per Income Tax Rules.

Solution

Computation of Profits & gains of business or profession of Shri Daga for the A.Y. 2025-26

Particulars	Note	Details	Amount
Net profit as per books of accounts			51,79,095
<i>Add: Expenditure disallowed but debited in P/L A/c</i>			
Penalty paid to municipal corporation	1	2,000	
Daga's remuneration	2	1,38,750	
Income tax	3	25,000	
Cultivation expenses	4	4,37,500	
Depreciation	5	91,000	
Expenses of manufacturing cane	6	5,32,000	
General charges	7	2,000	12,28,250
			64,07,345
<i>Less: Expenditure allowed but not debited in P/L A/c</i>			
Average market price of cane produced	6	6,00,000	
Depreciation as per I.T. Rules	5	50,000	
<i>Less: Income not taxable but credited in P/L A/c</i>			
Rent from agricultural land	8	950	
Sale proceeds from canes	8	6,05,055	
<i>Less: Income taxable under other heads but credited in P/L A/c</i>			
Revenue from fisheries		4,000	
Profit on sale of motor		3,230	12,63,235
Profits and gains of business or profession			51,44,110

Notes

- Any payment for infringement of law is disallowed.
- Any remuneration to proprietor is disallowed.
- Income tax paid is disallowed u/s 40(a).
- Cultivation expenditure is treated as expenses of agro-business.
- Depreciation is allowed as per Income tax Act.

6. Where income from a business having both agricultural as well as non-agricultural income, the market value of any agricultural produce, which is utilised as raw material in such business, is to be treated as revenue for agro-business and deductible expenditure for non agro-business. Hence, ₹ 6,00,000 (being average market value of sugarcane used in manufacturing sugar) is deductible expenditure.
7. Legal expenditure for defending a title suit on agricultural land is treated as an agricultural expenditure.
8. Rent from agro-land and sale of sugar cane is exempted u/s 10(1).

Illustration 10

X, Y and Z are partners in a firm which is assessed as a firm. They share profit and losses in the ratio of 3 : 2 : 1. The firm's Profit and Loss Account for the year ended 31.03.2025 is given below:

Particulars		₹	Particulars	₹
To, Salary to partners:			By Gross Profit	10,00,000
X —	2,00,000		By Interest on Bank deposit	1,40,000
Y —	1,20,000			
Z —	80,000	4,00,000		
To, Interest on partner's capital @ 15% p.a.				
X —	60,000			
Y —	40,000			
Z —	20,000	1,20,000		
To Depreciation		4,40,000		
To Sundry expenses		1,00,000		
To Net Profit		80,000		
		11,40,000		11,40,000

Other information :

- (a) Depreciation as per IT rules ₹ 4,60,000.
- (b) Sundry expenses include fines of ₹ 14,000 paid to custom authority.

For the assessment year 2025-26 compute—

- (i) Total income of the firm.
- (ii) Tax liability of the firm.



Work Book : Direct Taxation (Section A)

Solution

Computation of Total Income of for the A.Y.2025-26

Particulars	Amount	Amount
Net profit as per Profit and Loss Account		80,000
<u>Add: Expenditure disallowed but debited in books</u>		
Remuneration to partner as per book	4,00,000	
Interest to partner	24,000*	
Fine paid to the customs authority	14,000	
Depreciation as per Profit and Loss Account	4,40,000	8,78,000
		9,58,000
<u>Less: Depreciation as per IT Rules</u>	4,60,000	
<u>Less: Interest on Bank Deposit</u>	1,40,000	6,00,000
Book profit		3,58,000
<u>Less: Remuneration allowed to partner</u>		3,22,200
Profits & gains of Business or Profession		35,800
<u>Add: Income from Other Sources</u>		
Interest on Bank Deposit		1,40,000
Total Income		1,75,800
Tax on above [(₹ 1,75,800 x 30%) x 104%] [Rounded off]		54,850

* Calculation of interest not allowed:

Interest paid to partners	₹ 1,20,000
Interest Allowable (₹ 1,20,000 x 12% / 15%)	₹ 96,000
Interest to partners not allowed	₹ 24,000

Calculation of maximum allowable remuneration being minimum of the following

a) <u>Remuneration as per IT Act</u> [Higher of ₹ 3,00,000 or 90% of book profit]		3,22,200
b) <u>Remuneration as per books</u>		
X	2,00,000	
Y	1,20,000	
Z	80,000	4,00,000